Strategic Case Study

Predicted Paper 4 - Summer 2026

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You are a finance and business analyst working in the office of the Chief Financial Officer of Karachi Motor Car Hire Limited (KMCH).

KMCH's Board of Directors is meeting to consider the effect of the current macroeconomic environment on the company's strategy, operations, financing and governance. The Board is particularly concerned about fuel price increases arising from the ongoing regional conflict, wider inflation in spare parts and maintenance costs, increasing insurance costs, higher benchmark interest rates in Pakistan and the possible effect of these factors on customer demand, margins, cash flows and capital allocation.

The Chief Financial Officer has asked you to review the information in the appendices and prepare responses to the requirements set out below.

You should assume that today's date is 15 August 2026. Unless otherwise stated, all amounts are in Pakistani Rupees (Rs) million. You should use the information contained in the pre-seen material and the additional information provided in the appendices to answer the requirements.

Additional information

Appendix	Description
Appendix 1	Chief Executive Officer's email on macroeconomic pressures and Board priorities
Appendix 2	Financial and operational performance extract
Appendix 3	Operations note on fuel, maintenance and customer behaviour
Appendix 4	Treasury note on floating-rate borrowings and interest-rate hedging alternatives
Appendix 5	Fleet replacement cycle analysis for high-usage vehicles
Appendix 6	Capital allocation paper prepared for the Board
Appendix 7	Company Secretary and HR note on governance, crisis response and employees

Requirements

Question 1

(a) Evaluate the impact of rising fuel prices, spare parts inflation, insurance cost escalation and maintenance cost pressure on KMCH's business model, customer segments, margins, fleet operations and competitive position. Also advise whether KMCH should revise its customer packages / value offering for price-sensitive customers while preserving its premium brand. **(14 marks)**

(b) Using the financial and operational information provided, analyse KMCH's financial performance, margins and operating KPIs under the inflationary environment, and recommend pricing, revenue-protection, cost-control actions and a revised depot-manager performance scorecard. **(14 marks)**

(c) Evaluate the leadership style and management approach KMCH's senior management should adopt during the current inflation, fuel-price and interest-rate pressure, considering employees, customers and operational performance. **(8 marks)**

Total: 36 marks

Question 2

(a) Calculate the impact of possible increases in benchmark interest rates on KMCH's floating-rate borrowings and evaluate suitable interest-rate hedging techniques, including forward rate agreements, interest-rate futures and caps / collars. **(16 marks)**

(b) Using the Equivalent Annual Cost method, evaluate whether KMCH should adopt a three-year or four-year replacement cycle for selected high-usage vehicles in the current inflationary environment. **(8 marks)**

(c) Rank KMCH's proposed projects under capital rationing in the current high-inflation and high-interest-rate environment, using financial and non-financial factors. **(12 marks)**

Total: 36 marks

Question 3

(a) Advise the Board on governance actions required under sound corporate governance principles in response to the inflation, fuel-price and interest-rate shock. **(10 marks)**

(b) Recommend a crisis-management, communication and business continuity plan for KMCH to manage customers, staff, corporate clients, lenders, suppliers and service continuity during the macroeconomic shock. **(10 marks)**

(c) Recommend a framework for employee motivation, reward, training and learning development during the current cost and operating pressure, while ensuring that cost-control targets do not damage safety, ethics or customer service quality. **(8 marks)**

Total: 28 marks

Grand total: 100 marks

Appendix 1 - Chief Executive Officer's email on macroeconomic pressures and Board priorities

To: Chief Financial Officer

Subject: Board discussion on macroeconomic shock and response options

The regional conflict has continued for longer than many analysts expected. Fuel prices have increased sharply over the last few months and local suppliers are revising prices for imported spare parts, tyres, insurance and maintenance services. At the same time, benchmark interest rates in Pakistan have increased once and the Treasury team believes a further increase is possible if inflation remains elevated.

KMCH has historically positioned itself as a premium car-hire and mobility provider. Our customers expect clean vehicles, reliable handover, prompt support, trained drivers and transparent billing. However, several corporate customers have already challenged our proposed price increases and some retail customers are comparing our rates with smaller operators and ride-hailing alternatives.

I do not want the management team to respond with blanket discounting or indiscriminate cost cutting. That would be inconsistent with our brand. At the same time, we cannot ignore the pressure on margins, utilisation, working capital and financing cost. The Board wants to understand whether our pricing model, customer packages, fleet replacement approach, project prioritisation and governance arrangements remain appropriate in this environment.

Please prepare an analysis using the attached information. In particular, the Board wants to understand how the current environment affects our business model, which actions should be taken immediately, which projects should be deferred or reprioritised, and how management should protect staff morale and customer service while controlling costs.

Appendix 2 - Financial and operational performance extract

The Finance team has prepared the following extract for discussion at the Board meeting. The 2026 figures represent the latest full-year forecast after incorporating management's current expectations of demand and cost inflation. The forecast does not yet include any further increase in benchmark interest rates after July 2026.

Rs million, except KPIs	2026 actual*	2027 latest forecast*
Revenue	2,950	3,250
Fuel cost	(472)	(666)
Repairs, maintenance and tyres	(354)	(488)
Insurance and vehicle registration	(152)	(205)
Depot staff and operating overheads	(1,185)	(1,260)
Other operating costs	(507)	(520)
EBIT	280	111
Finance cost	(162)	(235)
Profit before tax	118	(124)
Average vehicles in active fleet	510	528
Fleet utilisation	71%	66%
Revenue per active vehicle	5.78	6.16
Customer satisfaction score	84%	78%
Average receivable days - corporate customers	42 days	56 days
Breakdowns per 1,000 rentals	6.8	9.5

** Year ended / ending 31st March*

The Finance team has added the following comments:

Revenue has increased mainly due to price revisions introduced for new bookings and a higher proportion of chauffeur-driven airport transfers. However, revenue growth has not translated into profit growth. Fuel and maintenance costs have increased faster than revenue, and several depots are reporting more customer complaints linked to older vehicles, delays in vehicle availability and billing disputes where additional fuel-related charges were added manually.

The corporate sales team has warned that some corporate customers are seeking fixed-price contracts for the next 12 months. Operations has warned that fixing prices without an escalation clause could expose KMCH to further fuel and spare-parts inflation. The Finance team is also concerned that receivable days are increasing, particularly for corporate customers that are delaying invoice approvals after disputed fuel and chauffeur overtime charges.

Appendix 3 - Operations note on fuel, maintenance and customer behaviour

The Operations team has reported that fuel consumption per kilometre has increased in some depots because of increased city congestion, longer airport waiting times and driver behaviour. Fuel-card reconciliations are performed monthly, but exception reports are not consistently reviewed by depot managers. Some drivers continue to idle vehicles during customer waiting periods, particularly for premium chauffeur assignments.

Maintenance pressure has also increased. Suppliers of tyres, imported filters, batteries and electronic components have reduced the period for which quoted prices remain valid. A few maintenance vendors are asking for shorter payment cycles. In response, some depot managers have delayed non-critical preventive maintenance to remain within monthly cost targets. Operations has warned that this may reduce short-term costs but could increase breakdowns, safety incidents and customer complaints later.

The Sales team believes customers can be divided into three broad groups in the current environment. Premium corporate customers may accept higher prices if service reliability and billing transparency improve. Retail self-drive customers are more price-sensitive and increasingly compare KMCH with smaller rental operators. Tourist and family customers are interested in bundled packages but dislike unexpected add-on charges. Management is considering whether to introduce limited-mileage packages, off-peak packages and prepaid corporate bundles. The brand team is concerned that any value-focused offer should not make KMCH look like a low-cost operator.

The HR team has also noted that depot managers are receiving conflicting messages. They are being asked to reduce costs, maintain premium service, retain staff, improve customer ratings and respond to customer complaints about price increases. Some managers are focusing mainly on cost reduction because the current depot reporting pack highlights monthly cost variances more prominently than customer service and safety indicators.

Appendix 4 - Treasury note on floating-rate borrowings and interest-rate hedging alternatives

KMCH has Rs 1,200 million of floating-rate borrowings repricing for the next six-month period on 1 September 2026. Interest is based on six-month KIBOR plus a bank margin of 2.50% per annum. Current six-month KIBOR is approximately 12.00% per annum.

The Treasury team has informed the Board that benchmark rates have already increased once during the year and may increase further if inflationary pressure continues. The team does not expect rates to return to the very low levels seen in earlier periods. However, it also believes that the most likely range for the next six-month reset is between 14.00% and 16.00%.

The bank facility includes an interest cover covenant based on EBIT / finance cost. Management wants to avoid a covenant discussion with lenders, particularly while the Board is still considering expansion, fleet replacement and technology projects.

Treasury has prepared the following interest-rate scenarios for the September 2026 reset:

Possible six-month KIBOR at reset	Probability assessed by Treasury
12.00%	20%
14.00%	50%
16.00%	30%

Treasury has obtained the following indicative hedging information. The quotes are for the same six-month exposure and are valid only for Board discussion purposes.

Instrument	Indicative quote / terms
Forward rate agreement (FRA)	KMCH can lock six-month KIBOR at 14.75% for the September reset. Settlement is made at the start of the interest period on the notional principal of Rs 1,200 million. For simplicity, ignore discounting of the FRA settlement.
Interest-rate futures	A six-month interest-rate futures contract is quoted at 85.25. KMCH would need to sell futures to hedge against rising interest rates. Each full 1.00 movement in the futures price produces a gain or loss of Rs 6.0 million for KMCH's proposed hedge size. Treasury expects the futures price to move approximately inversely with KIBOR. If KIBOR at reset is 12.00%, 14.00% or 16.00%, the futures price is expected to be 88.00, 86.00 or 84.00 respectively.
Interest-rate cap	Cap strike: 15.00% KIBOR. Premium payable immediately: Rs 5.0 million. The cap pays KMCH if KIBOR at reset exceeds 15.00%, based on the excess rate for six months on Rs 1,200 million.
Interest-rate collar	Cap strike: 15.50% KIBOR and floor strike: 11.50% KIBOR. No upfront premium. The cap protects KMCH if KIBOR exceeds 15.50%, but the floor may require a payment by KMCH if KIBOR falls below 11.50%.

The Treasury team has asked for an analysis of the likely interest cost under the unhedged position and under the available hedging alternatives. Management is also concerned that hedges should not be entered into for speculative purposes and that any hedge should be approved under a formal treasury policy.

The Chief Financial Officer has asked that the analysis should separately show the effect of the benchmark KIBOR movement and the fixed bank margin of 2.50%. The Board also wants to understand whether each hedge provides certainty, flexibility or only partial protection.

Appendix 5 - Fleet replacement cycle analysis for high-usage vehicles

The Fleet Manager has reviewed a group of high-usage sedans used mainly for corporate chauffeur and airport-transfer work. These vehicles operate longer daily hours than the average self-drive fleet and customers are more likely to notice vehicle condition, comfort and reliability.

Historically, KMCH has replaced this category of vehicles after four years. The Fleet Manager has asked whether the current inflationary environment justifies shortening the cycle to three years for high-usage vehicles. The analysis below is based on one vehicle. All costs are stated in current estimates. The discount rate for this decision is 15%.

Rs million per vehicle	Year 0	Year 1	Year 2	Year 3	Year 4
Purchase price	11.20	-	-	-	-
Maintenance and downtime cost	-	0.85	1.25	1.85	2.75
Additional fuel inefficiency cost compared with new vehicle	-	0.10	0.25	0.45	0.75
Expected resale value if sold at end of year	-	-	-	5.20	3.40

The Fleet Manager has not included any customer satisfaction benefit from a shorter replacement cycle in the table above. However, depot records show that customer complaints and premium chauffeur reassignments increase significantly once high-usage vehicles enter their fourth year. The Operations team also believes that if the replacement cycle is shortened, some older vehicles may still be redeployed to lower-mileage self-drive use rather than sold immediately, subject to vehicle condition and brand considerations.

Appendix 6 - Capital allocation paper prepared for the Board

The Finance team has prepared the following summary of projects currently awaiting Board approval. The Board has limited new capital available for immediate commitment because of higher finance costs, increased working capital pressure and uncertainty around customer demand. For this exercise, assume that only Rs 700 million of capital can be committed immediately. Projects are indivisible unless clearly stated otherwise.

Project	Initial investment required	Expected NPV	Project status / comments
A - IT platform upgrade	260	145	Needed to improve booking, dynamic pricing, telematics integration and Board reporting. Can be implemented only as a full project.
B - Islamabad depot	420	120	Growth project. Requires additional fleet and local management team. Demand remains attractive but cost assumptions have become more uncertain.
C - Accelerated replacement of high-usage vehicles	300	105	Could be scaled by replacing only part of the target fleet initially. Minimum practical first phase is Rs 150 million.
D - EV / hybrid pilot	520	155	Strategically attractive for premium corporate ESG customers. Requires charging and specialist training.
E - Franchise rollout preparation	160	70	Includes franchise operating manuals, platform readiness and pilot franchisee onboarding.
F - Depot restructuring and virtual depot pilot	190	88	Expected to reduce fixed cost and improve coverage if technology and handover controls work effectively.

The CFO has noted that ranking by NPV alone may not be appropriate in the current environment. Some projects reduce risk or protect service continuity even if their NPV is lower. The Board has also asked that projects should be assessed for liquidity impact, implementation capacity, strategic necessity, customer impact and the risk of deferring the project.

Appendix 7 - Company Secretary and HR note on governance, crisis response and employees

The Company Secretary has reminded the Board that the current environment requires more active oversight of strategy, risk management, internal control and treasury decisions. Several decisions now under consideration may affect pricing, borrowing, hedging, customer contracts, staff rewards, capital allocation and service continuity. The Company Secretary has suggested that the Board should ensure that decisions are supported by reliable forecasts, documented assumptions, appropriate challenge and clear delegation of authority.

The Company Secretary has also observed that the current Board pack focuses heavily on historical financial results and monthly cost variances. It contains limited stress testing, no formal risk appetite statement for treasury exposure, and no single dashboard showing fuel usage, customer complaints, breakdowns, interest cover, receivable days and project commitments together. The internal audit plan has not yet been updated to reflect higher risk in fuel, repairs, procurement and treasury activities.

The Operations team has suggested setting up a temporary crisis response group. The proposed group would include finance, operations, treasury, HR, customer service, legal and IT representatives. Its role would be to monitor service continuity, supplier availability, staff issues, customer communications, lender discussions and urgent pricing decisions. Some Board members are concerned that this could create another layer of management unless authority levels and reporting lines are clearly defined.

The HR Director has separately warned that staff morale is under pressure. Drivers and depot staff are dealing with more customer complaints about prices and additional charges. Depot managers feel that they are being judged mainly on cost savings even where costs are outside their control. There is also concern that aggressive cost targets may encourage unsafe behaviour, such as delaying maintenance, under-reporting vehicle defects, or discouraging legitimate customer service recovery costs.

The HR team is considering a revised reward and learning approach during the current period. Possible areas under discussion include fuel-efficient driving training, customer communication training, refresher training on vehicle safety checks, coaching for depot managers, recognition for service recovery, and linking incentives to a balanced set of controllable measures rather than cost savings alone.